

Table 8.2 Valuation Horserace (7/1963–12/2014)

	Value-weight portfolios			
	B/M	E/P	EBIT/ TEV	VW Market
Panel A: Value Stocks				
CAGR	12.36%	13.52%	14.33%	10.14%
Sharpe Ratio	0.47	0.54	0.61	0.39
Sortino Ratio	0.63	0.74	0.86	0.53
Worst Drawdown	−68.16%	−55.80%	−42.85%	−50.87%
Panel B: Growth Stocks				
CAGR	8.49%	7.60%	6.08%	10.14%
Sharpe Ratio	0.26	0.22	0.17	0.39
Sortino Ratio	0.34	0.29	0.22	0.53
Worst Drawdown	−80.09%	−80.82%	−89.92%	−50.87%

Over the 1963 through 2014 period analyzed, we find that EBIT/TEV is the best valuation metric to use as an investment strategy relative to other valuation metrics. Similar results are found using EBITDA/TEV in a 2009 paper by Loughran and Wellman,¹⁰ as well as a 2012 paper by Gray and Vogel.¹¹ The returns to an annually rebalanced value-weight portfolio of high EBIT/TEV stocks, earn 14.33 percent a year. This compares favorably to a practitioner favorite, E/P and the academic favorite B/M. Cheap E/P stocks earn 13.52 percent a year, while the academic favorite (B/M) earns 12.36 percent.

We also examine the return spread between the value and growth firms, and find that EBIT/TEV yields the largest return difference of the three measures. The bigger the spread, the better job the valuation measure does at differentiating between stocks that are statistically likely to outperform and those likely to underperform. When comparing the Sharpe ratio and Sortino ratio, EBIT/TEV wins again. These ratios attempt to compare risk-adjusted performance, with higher values being preferred. Last, EBIT/TEV has lower drawdowns for value stocks compared to the other measures. The conclusions are similar when looking at portfolios that are equal-weighted and value-weighted.

Overall, it appears that using EBIT/TEV was the best way to form a portfolio of value securities from 1963 to 2014. However, all three measures are effective relative to buying and holding the market portfolio.